

Board email: 12/1

We write to provide [additional budget detail](#) and an [interactive online app](#) so you can see how the different facets of the budget come together. These show that we need to close one school in the next year, but that there are still ample financial opportunities to adjust spending and move toward our goal of 90 days of cash on hand without needing to close additional schools.

In the online app, users can choose from a finance plan (the current scenario, the 11/3 or 11/17 plans, or the Legion of Nerds proposal). They can also explore how different rates for expenditures and revenues affect the surplus or budget deficit. Using the 'baseline' scenario and adding additional one-time cuts can show a plan-independent scenario.

Additionally, our model aligns with the projections prepared by Susan Harkin. While her forecasts incorporate variable CPI rates and ours use a constant rate for simplicity, the key insight remains the same: when expenditure growth outpaces revenue growth, the budget will move into deficit over time.

We have starting values for the app including our plan, and growth at 2.9% instead of the 2% forecast by Susan Harkin. In past meetings, Dr. Harkin has projected a 2% annual increase in revenue and 5% annual increase in expenses. The CPI (which most revenue is based upon) will likely be higher than 2% for at least the next few years - [many forecasters put this at or above 2.9%](#).¹ And while expenses will grow, it is not likely that they will be at 5%.

It is our hope that you will be able to answer questions you may have about how the budget pieces come together and, most importantly, how assumptions about revenue and expenditure growth affect the financial picture. The most important takeaway from our app is that having expenditure growth larger than revenue growth will lead to a deficit over time. This gap can be remedied by the board using levers from Dr. Harkin and community members.

We understand the desire to be conservative in financial planning, but given the fact that the savings from a school closure is less than one percent of our expenditures, we need to be careful when using this type of planning to drive decision making. For example, if instead of 2%, we assume a 2.9% increase in revenue while keeping expenses at 5%, the savings are roughly the same as a single school closure, and this compounds every year. Closing one school and then focusing on additional levers makes a lot of financial sense for our district.

Warmly,
Jean Clipperton,
Legion of Nerds

Included resources:

¹ <https://www.clevelandfed.org/indicators-and-data/inflation-nowcasting>

- Budget explainer: https://d65-legionofnerds.github.io/assets/no_changes_budget_20251129.html
- Interactive web-app: https://jclip.shinyapps.io/Financial_Lever/